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NVIDIA CORPORATION

NVDA | \$116.95

Buy | Target Price: \$165

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F2Q25 – Blackwell Should Drive Big Growth but hit Gross Margin

Key Numbers q/q: Revenue +15% (Data Center +16%), GM -330 bps, OPM -300bps

Gross Margin the Main Issue for Investors Near-term: The big reveal in our opinion was that we need to be more mindful of Blackwell's hit to gross margin in the coming quarters vs. any revenue air pocket. Lower yields, impacts from a mask change (a master template design change) and configuration mix should hit margins a bit more than we expected through next year but revenues are much better. EPS estimates still up - but the stock could see some near-term weakness into a gross margin bottoming process in F4Q25/F1Q26 timeframe due to the new platform. We are buyers on weakness as q/q revenue growth could accelerate in F4Q25 first - with margins catching up as yields/mix improve during the course of FY26. A demand issue would have us much more concerned. We still believe that training is better than expected and Data Center revenues can grow each quarter through FY26 as inferencing gets going.

\$5 in EPS Power Still in Sight: "Whispers" going in were up to \$500mm higher in terms of revenue for the quarter but it seems like the difference could be supply-driven – and guidance implies a stronger trajectory into year-end (especially for 4Q). So gross margin will be the big concern coming out of the quarter - but the sacred view of \$5.00 in EPS power (within an investable timeframe) is still there. Not to mention the company will have a big buyback lever (increased authorization by \$50B) if shares fall and potential revenue upside vs. our current model as Capex estimates keep going higher (Cloud Service Providers were 45% of revenue in F2Q25). Other positives included 1) Blackwell's masking change is now done and the product is sampling with several billion in revenues expected in 4Q25, driving q/q growth, 2) software revenues, led by Nvidia AI Enterprise and NIMs will grow to a \$2B run rate by year-end vs. \$1B last year, 3) "Sovereign AI" investments should account for double-digit billions in revenue already this year, and 4) networking grew 16% q/q to a \$3.7B with ethernet networking is poised to be a multi-billion dollar product within a year.

Raising Estimates Due to Higher Revenues: To reflect further optimism around H200s, Blackwell and other opportunities noted above, we are raising estimates again - but acknowledge a haircut of about 200bps for gross margins in FY26. For 3Q25, we now estimate revenues of \$32.6B (was \$30.9B), up 80% y/y and +8.6% q/q with a gross margin of 74.9% (was 75.3%) and EPS of \$0.73 (was \$0.69). For 4Q25, we now see revenues accelerating due to Blackwell to \$35.7B (was \$34.1B), up 61% y/y and +9.4% q/q but gross margins get a hit of 230 bps q/q to 72.6% (was 75.4%) and EPS still higher at \$0.78 (was \$0.77).

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For FY26, our Data Center revenue estimate adjusts to \$156.5B, up 44% y/y vs. \$147.7B previously with higher sales from Blackwell, Networking, Software and Sovereign areas but we forecast gross margin to fall about 200bps y/y. As a result, we estimate FY26 EPS of \$3.85 (up from \$3.71) based on revenues of \$174.2B, up 40% y/y (was \$164.4B).

Target \$165: Based on higher estimates, our target at \$165 (was \$160) now based on 35x our FY27 EPS estimate. This multiple could still be quite conservative given it falls well below the potential EPS growth rate for next year of over 37%. Given revenue estimates actually go higher and the impact on Nvidia's stock near-term may be more gross margin driven - weakness in the AI stock universe could create buying opportunities, especially for Arista Networks and Broadcom.

Figure 1: Nvidia F2Q25 Quarterly Variance of Results vs. Expectations

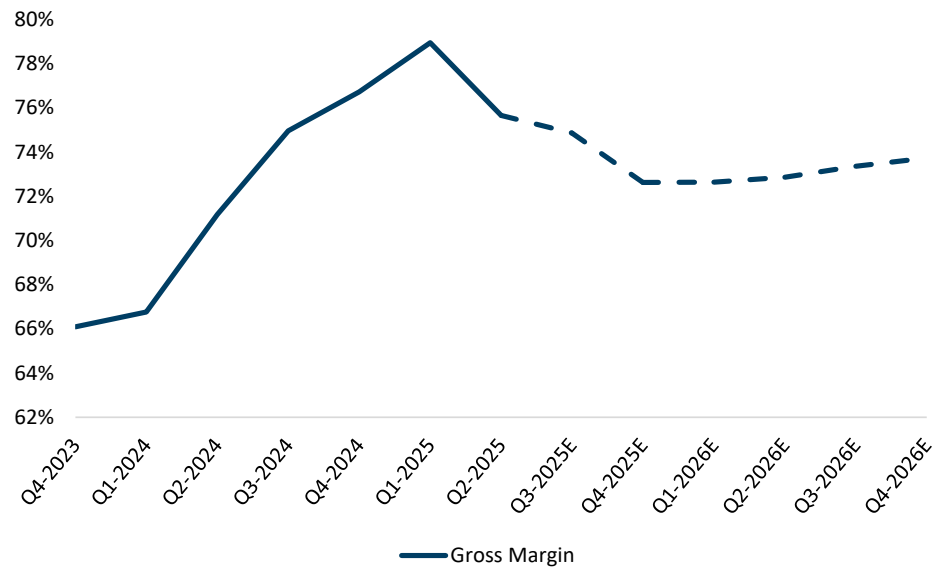
Difference vs. Consensus	Actual	Consensus	Difference vs. Consensus	Melius Estimates	Difference vs. Melius
Sales					
Data Center	26,272	25,270	4.0%	24,706	6.3%
Gaming	2,880	2,708	6.4%	2,779	3.6%
Professional Visualization	454	450	0.9%	448	1.3%
Automotive and Embedded	346	345	0.3%	345	0.2%
OEM and Other	88	78	12.8%	82	7.4%
Total Sales	30,040	28,737	4.5%	28,362	5.9%
Adj. COGS	7,311	6,990	4.6%	6,955	5.1%
Adj. Gross Profit	22,729	21,753	4.5%	21,407	6.2%
Adj. Gross Margin	75.7%	75.7%	0bps	75.5%	20bps
Adj. EBIT	19,937	18,949	5.2%	18,625	7.0%
Adj. EBIT Margin	66.4%	65.9%	50bps	65.7%	70bps
Adj. Pre-tax Income	20,317	18,975	7.1%	18,954	7.2%
Adj. Provision for Taxes	3,365	3,228	4.2%	3,137	7.3%
Adj. Tax Rate	16.6%	17.0%	-40bps	16.6%	0bps
Adj. Net Income	16,952	15,992	6.0%	15,817	7.2%
Adj. EPS	\$0.68	\$0.65	5.0%	\$0.64	7.3%
Diluted Shares Outstanding	24,848	24,603	1%	24,885	-0.1%
Operating Cash Flow	14,489	14,793	-2%	14,410	0.5%
CapEx	(977)	(401)	144%	(425)	129.9%
Free Cash Flow	13,512	15,361	-12.0%	13,985	-3.4%

Source: Nvidia, FactSet and Melius Research



Figure 2: Gross Margin Trajectory Could Impact Stock Near-Term but Should Rebound as Blackwell Scales

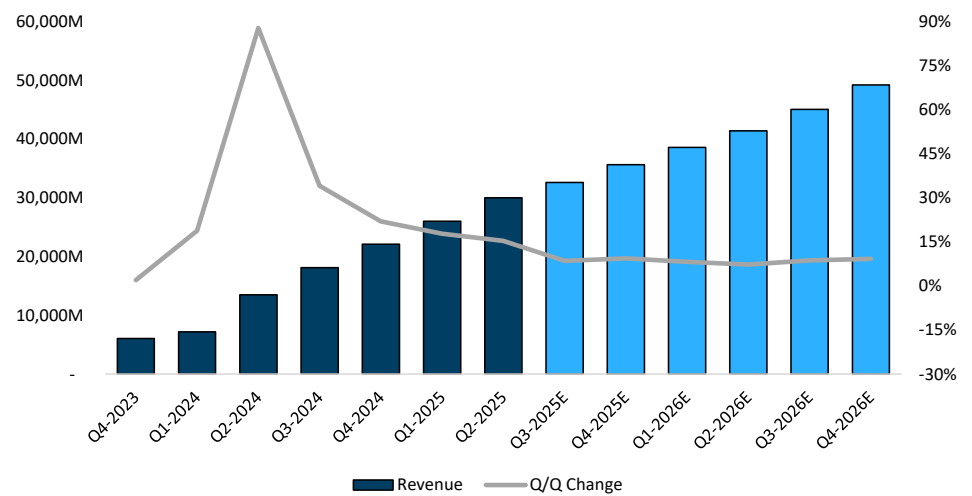
Nvidia Gross Margin Since ChatGPT Launch in 2022



Source: Nvidia and Melius Research

Figure 3: Sequential Revenue Growth Could Get a Boost From Blackwell

Quarterly Revenue Growth Since ChatGPT Launch in 2022



Source: Nvidia and Melius Research



Figure 4: Nvidia Model Summary

Period	FY2022	FY2023	FY2024	Q1-2025	Q2-2025	Q3-2025E	Q4-2025E	FY2025E	FY2026E	FY2027E
Period Ended	1/30/2022	1/29/2023	1/28/2024	4/28/2024	7/28/2024	10/28/2024	1/31/2025	1/31/2025	1/31/2026	1/31/2027
Gaming	12,462	9,067	10,447	2,647	2,880	3,053	3,205	11,785	13,376	14,446
Y/Y Growth	60.6%	-27.2%	15.2%	18.2%	15.8%	6.9%	11.9%	12.8%	13.5%	8.0%
Q/Q Growth				-7.6%	8.8%	6.0%	5.0%			
Professional Visualization	2,111	1,544	1,553	427	454	490	515	1,886	2,286	2,468
Y/Y Growth	100.5%	-26.9%	0.6%	44.7%	19.8%	17.9%	11.2%	21.5%	21.2%	8.0%
Q/Q Growth				-7.8%	6.3%	8.0%	5.0%			
Datacenter	10,613	15,005	47,525	22,563	26,272	28,610	31,471	108,916	156,543	192,548
Y/Y Growth	58%	41%	217%	427%	154%	97%	71%	129%	44%	23%
Q/Q Growth				23%	16%	9%	10%			
Automotive	566	903	1,091	329	346	367	385	1,427	1,717	1,992
Y/Y Growth	5.6%	59.5%	20.8%	11.1%	36.8%	40.5%	37.0%	30.8%	20.3%	16.0%
Q/Q Growth				17.1%	5.2%	6.0%	5.0%			
OEM & IP	1,162	455	306	78	88	92	92	351	370	370
Y/Y Growth	84%	-61%	-33%	1%	33%	27%	3%	15%	5%	0%
Q/Q Growth				-13%	13%	5%	0%			
Total Revenue	26,914	26,974	60,922	26,044	30,040	32,612	35,669	124,365	174,291	211,824
Y/Y Growth	61.4%	0.2%	125.9%	262.1%	122.4%	80.0%	61.4%	104.1%	40.1%	21.5%
Q/Q Growth				17.8%	15.3%	8.6%	9.4%			
Cost of Goods Sold	8,945	11,009	15,963	5,484	7,311	8,198	9,764	30,757	46,733	55,737
Gross Profit	17,969	15,965	44,959	20,560	22,729	24,414	25,905	93,609	127,559	156,087
Gross Margin	66.8%	59.2%	73.8%	78.9%	75.7%	74.9%	72.6%	75.3%	73.2%	73.7%
Research & Development	3,951	5,408	6,094	1,981	2,241	2,415	2,534	9,171	12,217	14,636
Selling, General & Administrative	1,328	1,524	1,731	521	551	592	615	2,279	2,697	3,066
Other	-	(7)	-	(1)	-	-	-	(1)	-	-
Operating Income	12,690	9,040	37,134	18,059	19,937	21,407	22,756	82,159	112,645	138,385
Operating Margin	47.2%	33.5%	61.0%	69.3%	66.4%	65.6%	63.8%	66.1%	64.6%	65.3%
Depreciation & Amortization	1,174	1,544	1,508	410	433	388	415	1,645	1,690	1,736
EBITDA	13,864	10,584	38,642	18,469	20,370	21,795	23,171	83,805	114,335	140,121
EBITDA Margin	51.5%	39.2%	63.4%	70.9%	67.8%	66.8%	65.0%	67.4%	65.6%	66.1%
Net Interest Expense (Income)	204	(10)	(613)	(296)	(384)	(396)	(468)	(1,545)	(2,530)	(3,543)
Other Items	(8)	4	1	(6)	4	-	-	(2)	-	-
Pre-tax Income	12,494	9,046	37,746	18,361	20,317	21,803	23,225	83,706	115,175	141,928
Income Tax Expense	1,235	680	5,434	3,123	3,365	3,707	3,948	14,143	19,580	24,128
Effective Tax Rate	9.9%	7.5%	14.4%	17.0%	16.6%	17.0%	17.0%	16.9%	17.0%	17.0%
Net Income	11,259	8,366	32,312	15,238	16,952	18,097	19,276	69,563	95,595	117,800
Y/Y Growth	79.4%	-25.7%	286.2%	461.7%	151.5%	80.6%	50.1%	115.3%	37.4%	23.2%
Q/Q Growth				18.7%	11.2%	6.8%	6.5%			
Sharecount	25,350	25,070	24,940	24,890	24,848	24,789	24,756	24,815	24,847	24,785
EPS	\$0.44	\$0.33	\$1.30	\$0.61	\$0.68	\$0.73	\$0.78	\$2.80	\$3.85	\$4.75
Y/Y Growth	77.7%	-24.9%	288.2%	461.9%	153.0%	81.7%	51.0%	116.4%	37.2%	23.5%
FactSet Consensus Sales						31,714	34,883	120,768	167,549	196,887
Melius vs. Consensus						3%	2%	3%	4%	8%
FactSet Consensus EBIT						20,971	23,115	79,818	110,225	126,107
Melius vs. Consensus						2%	-2%	3%	2%	10%
FactSet Consensus EPS						\$0.71	\$0.78	\$2.72	\$3.79	\$4.45
Melius vs. Consensus						2.4%	-0.7%	3.1%	1.5%	6.8%

Source: Nvidia, FactSet and Melius Research



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